

James Fishback: 26 Trades for 2026

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Speaker Bio

James Fishback is founder of Citrini Research and creator of the Citrindex, a thematic equity research platform. Former sell-side analyst covering semiconductors and technology supply chains. Known for deep-dive supply chain analysis, AI capex themes, and contrarian cyclical positioning.

Executive Summary

The **“BS Jobs” thesis** anchors 2026’s highest-conviction trade: long companies with bloated white-collar headcount that can massively cut via AI—Accenture, Marsh McLennan, ADP, Paychex. This isn’t hiring freeze; it’s **active workforce reduction enabled by LLMs**. When a company reports flat revenue with 15% fewer employees, margins explode. The gap between AI capability and corporate utilization remains wide—that’s the alpha. First movers who deploy AI for actual cost reduction outperform; skeptics waiting for “proof” miss the repricing.

Advanced packaging emerges as the structural bottleneck for all AI silicon—whether Nvidia, Google TPUs, or Chinese ASICs. Intel’s packaging division (Intel Foundry Services), Amkor, Synopsis, and BESI benefit regardless of who wins the chip design race. CoWoS (Chip-on-Wafer-on-Substrate) capacity determines AI compute scaling more than fab capacity. Memory semis remain mid-cycle with HBM shortage intact, but watch for glut signals.

The **“Post-Traumatic Supply Disorder” (PTSD) framework** explains why gas turbines and memory semis crushed 2025: companies traumatized by prior overcapacity cycles refuse to add supply despite surging demand. GE Vernova targeting 20% EBIT margins (from 14%) because they won’t build new factories despite doubled demand projections. Screen for: oligopoly structure + demand surge + capital discipline + prior trauma. Solar (First Solar), lithium (SQM, Albemarle), and analog semis fit the screen for 2026.

Google TPU vs Nvidia is false binary—both can win. MediaTek (20x P/E) designs next-gen TPUs and benefits from inference-on-device shift. ACMR trades at 5x discount to its Chinese A-share equivalent—arbitrage unhedgeable but valuation gap should close. China’s semiconductor buildout continues regardless of success—don’t fight CCP capex. AI mid-cycle confirmed: OpenAI raising \$100B means capex boom persists. Bubble indicators to watch: broad retail euphoria, inventory air pockets, 12-month adoption stall.

Listen or Skip?

Verdict: Must-listen — comprehensive 2026 playbook with actionable thematic baskets

Aspect	Rating
Signal density	★★★★★
Actionability	★★★★★
Novel insights	★★★★☆
Production quality	★★★★☆

Best for: Thematic equity investors, tech supply chain analysts, multi-factor PMs **Skip if:** Pure macro/rates focus, no single-stock mandate

Key Quotes

1. *"I think that this is the single biggest 'oh, that's a really good point' that I've seen in 2025... if you take a step back and just look at jobs, there are a lot of jobs where the only reason why they exist is because there hasn't been an alternative."*
2. *"I call it post-traumatic supply disorder... they listened to a bullish forecast, they built a new factory, demand fell off a cliff, and now they're just like, okay, we're not going to do that again."*
3. *"Look at Genova, right? They're projecting their EBIT margins to go to 20% over the next years from 14. Because they're hypervigilant. They're not believing the hockey stick charts."*
4. *"China has 81 companies over \$5 billion market cap that were up over 100% in 2025. If you could have bought any of those, you would have a really good year."*
5. *"Between Broadcom and Nvidia, I would pick MediaTek because I think there's a tail situation of inference being on device... and they're trading at 20 times earnings and they're going to be designing the next generation of TPUs."*
6. *"This is the time where you can derive the most value for the least cost by utilizing AI. It's the same thing as when Uber was way better than taking a taxi and cheaper."*
7. *"The depreciation capex argument is a bull argument for Nvidia. It's a bear argument for OpenAI, but it's a bull argument for AI progress."*
8. *"I think that the way that it stands right now I have a difficult time believing in this is a trick of depreciation or this is just customer concentration and what's going to go the way of the metaverse."*

1) Executive Dashboard (PM Read)

Metric	Assessment
Net Signal	Bullish AI/Cyclicals with Selectivity
Conviction	High (structural themes) / Medium (timing)
Time Horizon	Structural (12m+) thematic positioning
Primary Domain(s)	Equities Tech Industrials Commodities
Why Now?	AI capability-utilization gap closing in 2026; PTSD cyclicals re-rating; OpenAI \$100B validates mid-cycle

Top 3 Investable Ideas:

1. **Long "BS Jobs" basket (ACN, MMC, ADP, PAYX)** — AI-enabled workforce reduction = margin expansion; highest conviction 2026 theme
2. **Long advanced packaging (Intel IFS, Amkor, BESI, Synopsis)** — Bottleneck for all AI silicon regardless of chip designer; CoWoS capacity = AI scaling
3. **Long PTSD cyclicals (GE Vernova, First Solar, SQM)** — Capital discipline + demand surge + oligopoly = margin expansion without supply response

2) Key Investable Insights

Insight 1: BS Jobs / AI Workforce Reduction

- **Claim:** Companies with bloated white-collar headcount (consultants, insurance brokers, HR services) can cut 15-30% via AI deployment, driving massive margin expansion
- **Asset Class:** US Equities (Services)
- **Mechanism:** LLMs replace knowledge workers at scale; hiring freeze = net cuts; revenue flat + headcount down 15% = EPS explosion

- **Expression:** Long ACN, MMC, ADP, PAYX; avoid companies already lean or hardware-dependent
- **Trigger to Exit/Flip:** AI adoption stalls 12+ months; labor market tightens forcing re-hiring
- **Confidence:** High

Insight 2: Advanced Packaging as AI Bottleneck

- **Claim:** CoWoS/advanced packaging capacity constrains AI compute more than fab capacity; benefits all chip designers
- **Asset Class:** Tech Equities (Semis Supply Chain)
- **Mechanism:** All AI chips (Nvidia, Google TPU, AMD, Chinese ASICs) require advanced packaging; capacity additions take 2-3 years; oligopoly pricing power
- **Expression:** Long AMKR, BESI, SNPS, Intel IFS exposure; long KLIC for chiplet assembly
- **Trigger to Exit/Flip:** Major capacity announcements; packaging yield improvements; demand destruction
- **Confidence:** High

Insight 3: Post-Traumatic Supply Disorder (PTSD)

- **Claim:** Companies traumatized by prior overcapacity cycles refuse to add supply despite demand surge—margins expand without volume risk
- **Asset Class:** Industrials, Materials, Semis
- **Mechanism:** Screen requires: oligopoly + demand surge + capital discipline + prior trauma; GE Vernova, memory semis proved thesis in 2025
- **Expression:** Long GEV (gas turbines), FSLR (solar oligopoly if China excluded), SQM/ALB (lithium concentrated), analog semis
- **Trigger to Exit/Flip:** Capacity announcements; management guidance shifts to volume growth; new entrants
- **Confidence:** Medium-High

Insight 4: Inference-on-Device + MediaTek

- **Claim:** Inference will migrate from cloud to device for latency (200ms vs 800ms); MediaTek positioned as TPU designer at 20x P/E
- **Asset Class:** Tech Equities (Mobile/Semis)
- **Mechanism:** Agentic AI requires real-time response; cloud round-trip too slow; memory efficiency breakthroughs enable on-device; RAM cost squeeze hurts Lenovo/Dell, helps MediaTek/Qualcomm
- **Expression:** Long MediaTek, Qualcomm; pair trade short Lenovo, Dell, Nintendo (41% BOM is RAM)
- **Trigger to Exit/Flip:** Memory efficiency breakthroughs (5 identified); RAM prices collapse
- **Confidence:** Medium

3) Transmission & Cross-Asset Map

Primary Driver	Direct Impact (1st Order)	Spillover (2nd Order)	Correlation Risk	Funding/Carry Impact	Positioning/Flows
AI workforce cuts	Service-sector margin expansion	Consumer spending risk if layoffs accelerate	Services-consumer correlation	N/A	Under-owned value names
Advanced packaging shortage	Packaging equities re-rate	AI compute scaling slows	Semis-AI correlation	N/A	Supply chain rotation
PTSD capital discipline	Cyclical margin expansion	Commodity prices rise (nat gas, lithium)	Cyclical-growth correlation	N/A	Value rotation
Inference-on-device	Mobile semis outperform	Cloud capex moderates	Memory-device correlation	N/A	RAM cost pass-through
OpenAI fundraising	AI capex continues	Hyperscaler spend validated	AI-rates correlation	N/A	Growth momentum

4) Regime & Scenario Analysis

- **Current Regime Fit:** Mid-cycle AI bull with selective value rotation. PTSD cyclicals re-rating. Consumer bifurcation (K-shaped). OpenAI funding validates continued capex.
- **Base Case (55%):** AI adoption accelerates in 2026; BS Jobs thesis plays out in earnings; PTSD cyclicals continue margin expansion; OpenAI raises successfully; inference-on-device begins. Citrindex themes +30-50%.
- **Alt Case 1 (30%):** AI adoption stalls 12+ months; capability-utilization gap persists; cyclicals add capacity prematurely; consumer weakens. Thematic underperformance.
- **Alt Case 2 (15%):** Broad retail euphoria triggers bubble conditions; inventory air pockets emerge; OpenAI fundraising fails; China achieves semiconductor independence faster than expected. Risk-off rotation.
- **Anti-Thesis Trigger:** AI adoption stalls 12 months post-capability; PTSD companies announce capacity additions; OpenAI down-round; memory glut Q1 2026.
- **Tail Risks:** China semiconductor breakthrough. Tariff escalation to 25%+. Hyperscaler capex cuts. Consumer credit event.

5) Hard Data & Verifiable Claims

- **Data:** Citrindex Dynamic AI basket +229% since inception
- **Data:** Citrindex Fiscal Primacy basket +176% since inception
- **Data:** Citrindex Robotics basket +24% (started May 2025)
- **Data:** GE Vernova targeting 20% EBIT margins (up from 14%)
- **Data:** MediaTek trading at 20x earnings
- **Data:** ACMR ADR owns 6 A-shares; A-share trades at ~5x ADR valuation
- **Data:** China 81 companies >\$5B up >100% in 2025 (vs US 43)
- **Data:** Nintendo Switch bill of materials 41% RAM
- **Data:** Nintendo Switch price increased \$300 to \$450
- **Data:** Cloud inference round-trip ~800ms vs on-device ~200ms
- **Data:** Tax refunds in Q1 2026 expected 30-50% higher than prior years
- **Data:** 2025 digital asset treasuries traded at premium, now at/near NAV
- **Claim:** OpenAI raising \$100B at \$800B+ valuation
- **Claim:** More Silicon Valley startups built on Qwen (Alibaba) than OpenAI
- **Claim:** 95% of late-90s fiber laid as "dark fiber" (build it and they will come)
- **Claim:** Pterodine doubled from ~\$100 to \$198 since prior interview

6) BS & Bias Filter

- **Incentives:** Founder of Citrini Research—platform benefits from thematic basket performance. Promotes Citrindex subscription. Partnership with Monetary Matters Network.
- **Blind Spots:** Limited macro/rates discussion. US-centric despite China basket. No fixed income analysis. Consumer weakness underweighted.
- **Track Record:** Citrindex published with live performance. Dynamic AI +229%, Robotics +24%. Pterodine call doubled. Claims accountability via transparent tracking.
- **Consensus Check:** BS Jobs = contrarian. PTSD framework = novel. Google vs Nvidia false binary = contrarian. AI mid-cycle = consensus.
- **Sample Bias:** Tech/industrial focus. Limited financials, healthcare, consumer coverage. US listings preferred (excludes A-shares from index despite bullishness).

7) PM Bottom Line

Action → Trade + Monitor

Build positions in three structural themes: BS Jobs basket (ACN, MMC, ADP, PAYX) for AI-enabled margin expansion; advanced packaging (AMKR, BESL, SNPS) as AI bottleneck regardless of chip winner; PTSD cyclicals (GEV, FSLR, SQM) for capital discipline premium. MediaTek offers asymmetric inference-on-device optionality at 20x.

ACMR provides China AI exposure with arbitrage floor. Size modestly given multi-name baskets; trail stops on PTSD names for capacity announcement risk.

Key watches: OpenAI funding announcements (cycle signal). PTSD companies' capacity guidance (margin risk). Memory glut indicators. AI adoption metrics beyond chatbots. Tax refund spending Q1 (consumer durables catalyst). 12-month AI utilization stall = bubble risk.